CHAPTER SIXTEEN

TCS AND TASL

Tata Consultancy Services

Incorporated in 1968, Tata Consultancy Services (TCS) is the business solutions and IT services company of the Tata Group, and its most valued enterprise. The company was established as a 100 per cent division of Tata Sons. Over the years, it grew to be one of the ‘trusted’ partners to many *Fortune* 500 companies and also found itself amongst the largest IT service providers in the world. It is ‘counted among the top three IT services brands globally’.

It was more valuable to the Tata Group. In 2017–18, TCS’s PAT as a percentage of the PAT of the entire group was more than 78 per cent. Although its contribution in terms of profit as a percentage of the group declined in later years, it is still substantial—in 2021–22 it was nearly 51 per cent. As it is a software company with comparatively negligible capital investment, it has also been a wellspring of funds for the Tatas. In 2022–23, TCS reported a revenue of Rs 225,458 crore and net profit (consolidated) of Rs 42,303 crore. According to various assessment matrices, TCS is amongst the most highly ranked companies in the world. For instance, it was in the top fifty in the Kantar BrandZ Most Valuable Global Brands in 2022. More significantly, it was ranked amongst the ‘Top 10 fastest growing brands with its brand value growing 61% YoY’.

TCS has had a remarkable journey. But the initial years were not easy, says N.A. Soonawala, former finance director of Tata Sons. In the 1970s, red tape was so circumscribing that computers could not be imported into India unless burdensome counter-export obligations were accepted. But the MIT-educated F.C. Kohli, the first deputy chairman of TCS and the business leader who is credited with having built the company, was ‘brave enough’